Contingencies

In the ordinary course of our business, we are exposed to various liabilities as a result of contracts, product liability, customer claims and other matters. Additionally, we are involved in a limited number of legal actions, both as plaintiff and defendant. Consequently, we could incur uninsured liability in any of those actions. We also periodically receive notifications from various third parties alleging infringement of patents or other intellectual property rights, or from customers requesting reimbursement for various costs. With respect to pending legal actions to which we are a party and other claims, although the outcomes are generally not determinable, we believe that the ultimate resolution of these matters will not have a material adverse effect on our financial position, cash flows or results of operations. Litigation and disputes relating to the semiconductor industry are not uncommon, and we are, from time to time, subject to such litigation and disputes. As a result, no assurances can be given with respect to the extent or outcome of any such litigation or disputes in the future.

We accrue for claims and contingencies when losses become probable and reasonably estimable. As of the end of each applicable reporting period, we review each of our matters and, where it is probable that a liability has been or will be incurred, we accrue for all probable and reasonably estimable losses. Where we can reasonably estimate a range of losses we may incur regarding such a matter, we record an accrual for the amount within the range that constitutes our best estimate. If we can reasonably estimate a range but no amount within the range appears to be a better estimate than any other, we use the amount that is the low end of such range. Contingencies of an acquired company that exist as of the date of the acquisition are measured at fair value if determinable, which generally is based on a probability weighted model. If fair value is not determinable, contingencies of an acquired company are recognized when they become probable and reasonably estimable.

Results of Continuing Operations

The following table sets forth certain operational data as a percentage of net sales for the fiscal years indicated:

	Year Ended March 31,		
	2019	2018	2017
Net sales	100.0%	100.0%	100.0%
Cost of sales	45.2	39.2	48.4
Gross profit	54.8	60.8	51.6
Research and development	15.4	13.3	16.0
Selling, general and administrative	12.8	11.4	14.7
Amortization of acquired intangible assets	12.6	12.2	9.9
Special charges and other, net	0.6	0.4	2.9
Operating income	13.4%	23.5%	8.1%

Net Sales

We operate in two industry segments and engage primarily in the design, development, manufacture and sale of semiconductor products as well as the licensing of our SuperFlash and other technologies. We sell our products to distributors and original equipment manufacturers, referred to as OEMs, in a broad range of markets, perform ongoing credit evaluations of our customers and generally require no collateral. In certain circumstances, a customer's financial condition may require collateral, and, in such cases, the collateral would be typically provided by letters of credit.

The following table summarizes our net sales for the periods covered by this report (dollars in millions):

	Year Ended March 31,				
	2019	% Change	2018	% Change	2017
Net sales	$ 5,349.5	34.4%	$ 3,980.8	16.8%	$ 3,407.8

The increase in net sales in fiscal 2019 compared to fiscal 2018 was due primarily to our acquisition of Microsemi and was partially offset by our adoption of ASC 606 and demand fluctuations in the markets we serve. Revenue earned from Microsemi products accounted for a 39.4% increase in net sales in fiscal 2019 compared to fiscal 2018. This increase was partially offset by our adoption of ASC 606 on April 1, 2018, which affected the timing of revenue recognition with our distributors as